

We can refer to Notes to Accounts to find the answers to these questions. We must understand finance cost in parallel with Debt.

We need to understand the reason behind any non-operating cost that the company has, its strategy, and why it bears those costs. The company has a lot more flexibility over non-operating expenses as compared to operating expenses.

**Next, we must know what percentage of revenue is the non-operating expenses.
For this, we refer to the common size Income Statement.**

Dividend	0%	0%	0%	0%	0%	0%
Other non operating Income	1%	2%	2%	2%	2%	1%
Total Non- operating revenue	1%	2%	2%	2%	2%	1%
Non-operating expenses-						
Finance Costs	0.23%	0.23%	0.25%	0.37%	0.47%	0.51%
Other non-operating						
#1						
#2						
Total Non-operating Expenses						

We see that non-operating expenses as a percentage of revenue is a very small number. If this number was high say at 5, 7, or 10 percent, we would dig much deeper and read every single notes to accounts. This number tells us how significant are the non-operating expenses for a given company.

2. Non-Operating Profit

To calculate this, we take other income and subtract non-operating expenses. We had earlier calculated Non-operating income where we understood the interest and income of the company from financing assets.

$$\text{Non-operating profit/loss} = \text{Other income} - \text{Non-operating expenses}$$

We need to identify how large is non-operating profit or loss for the company. We need to keep track of this number. We also need to understand non-operating assets and liabilities to understand non-operating profit/loss better and have a complete picture. With this, we conclude our discussion around non-operating items.

In the next section, we talk about Exceptional Items and different growth rates.